

Elevate Creative Group

Accounting Assumptions and Policies

Document Type: Accounting Policies and Assumptions

Business: Elevate Creative Group

Accounting Basis: Accrual Basis

Reporting Currency: USD

Fiscal Year-End: December 31

1. Purpose of the Document

This document establishes the accounting assumptions and policies used for the Elevate Creative Group simulated accounting engagement.

The policies provide a consistent framework for recording transactions, preparing financial statements, performing month-end close procedures, and interpreting the company's financial information.

These assumptions are designed for a small service-based business and will be applied consistently throughout the accounting simulation unless otherwise specified.

2. General Accounting Framework

Elevate Creative Group will maintain its accounting records using the **accrual basis of accounting**.

Under the accrual basis:

- Revenue is recognized when services are performed and earned.
- Expenses are recognized when incurred, regardless of when cash is paid.
- Assets, liabilities, equity, revenue, and expenses are recorded in the appropriate accounting period.

The accounting records will be maintained using generally accepted accounting principles as a general conceptual framework for the simulation.

The company will maintain separate business records and will not record the owner's personal transactions as business transactions.

3. Accounting Period

The company's fiscal year follows the calendar year:

January 1 through December 31

Financial information will be reviewed and reported monthly.

The monthly accounting period will be closed after all significant transactions have been recorded, reconciliations completed and required adjusting entries posted.

4. Revenue Recognition Policy

Revenue is generated primarily from professional creative and digital services.

Revenue will generally be recognized when the related services have been performed, and the company has earned the right to payment.

Revenue may be generated from:

- Fixed-price projects
- Monthly recurring service agreements
- Consulting engagements
- Client retainers or deposits

Amounts received from customers before the related services have been performed will initially be recorded as a liability, such as **Customer Deposits** or **Deferred Revenue**. The amount will be recognized as revenue as the related services are delivered.

Customer invoices will be recorded as accounts receivable when the company has provided the services and has an enforceable right to payment.

5. Accounts Receivable Policy

Accounts receivable represents amounts owed by customers for services already provided.

Customer payments will be applied against the related outstanding invoices.

Accounts receivable will be reviewed during each month-end close to identify:

- Outstanding customer balances
- Overdue invoices
- Unapplied customer payments
- Potential collection concerns

The Accounts Receivable Aging Report will be used to support the review.

6. Customer Deposits and Deferred Revenue

Customer payments received before the related services are provided will not immediately be recognized as revenue.

These amounts will be recorded as a liability until the company satisfies its service obligations.

When the related services are completed, the appropriate amount will be transferred from the liability account to the applicable revenue account.

This policy ensures that revenue is recognized in the accounting period in which the related services are performed.

7. Expense Recognition and Classification

Expenses will be recorded in the period in which the related goods or services are received or consumed.

Operating expenses will be classified according to their economic purpose.

Examples include:

- Software Subscriptions
- Advertising and Marketing
- Professional Fees
- Office Supplies
- Internet and Telecommunications
- Insurance
- Rent
- Bank Charges
- Contractor Costs

Expenses will be reviewed to ensure they are recorded in appropriate accounts and are not incorrectly classified as assets, liabilities, or other types of expenses.

8. Prepaid Expenses

Payments for goods or services that provide benefits extending beyond the current accounting period will initially be recorded as prepaid assets.

Examples may include:

- Annual insurance
- Prepaid software subscriptions
- Other services paid for in advance

The prepaid amount will be recognized as an expense over the period in which the related benefit is consumed.

A month-end adjusting entry will be recorded when necessary to recognize the portion applicable to the current accounting period.

9. Fixed Assets and Depreciation

Items purchased for long-term business use that meet the company's capitalization criteria will be recorded as fixed assets rather than immediately expensed.

Examples may include:

- Computers
- Office equipment
- Other qualifying business equipment

Fixed assets will be depreciated systematically over their estimated useful lives.

Depreciation expense will be recognized periodically, and accumulated depreciation will be recorded as a contra-asset account.

Routine, low-value purchases that do not meet the capitalization criteria will generally be recorded as expenses.

10. Independent Contractors

Elevate Creative Group may engage independent contractors to provide specialized services for client projects or to supplement internal capacity.

Contractor costs directly related to the delivery of client projects may be classified as direct project costs or cost of sales.

Other contractor services that support general business operations may be classified as operating expenses.

Contractor invoices will be recorded as expenses or accounts payable when the services have been received.

11. Accounts Payable and Accrued Expenses

Accounts payable represents amounts owed to vendors for goods or services already received but not yet paid.

Vendor bills will be recorded when the company receives goods or services and has an obligation to pay the vendor.

At month-end, expenses incurred but not yet invoiced may be recorded as accrued expenses when necessary to ensure expenses are reported in the correct accounting period.

Accrued expenses will be reviewed and reversed or settled when the related obligation is subsequently recorded or paid.

12. Bank and Credit Card Accounting

All business bank accounts and credit card accounts will be recorded separately in QuickBooks Online.

Transactions will be recorded and classified based on the underlying economic activity.

Transfers between company accounts will be recorded as transfers and will not be treated as revenue or expenses.

Credit card purchases will be recorded as expenses or assets, as appropriate, with the credit card balance recorded as a liability until payment is made.

13. Bank Reconciliation Policy

Bank accounts will be reconciled at the end of each accounting period.

The reconciliation process will compare the accounting records to the applicable bank statement and identify:

- Missing transactions
- Duplicate transactions
- Incorrect transaction amounts
- Outstanding checks or payments
- Deposits in transit
- Bank charges
- Other reconciling items

Unexplained differences will be investigated and resolved before the month-end close is finalized.

14. Owner's Equity

The owner and the business will be treated as separate economic entities.

Capital contributions made by the owner will be recorded in the appropriate equity account.

Owner withdrawals or distributions will be recorded separately from business operating expenses.

Personal expenses will not be recorded as business expenses.

15. Month-End Close Policy

A formal month-end close process will be performed for each reporting period.

The close process will include:

- Recording all known business transactions.
- Reviewing bank and credit card activity.
- Completing bank reconciliations.
- Reviewing accounts receivable.
- Reviewing accounts payable.
- Reviewing prepaid expenses.
- Reviewing fixed assets and depreciation.
- Recording required accruals and other adjusting entries.
- Reviewing the general ledger and trial balance.
- Investigating unusual or unexpected balances.
- Preparing and reviewing financial statements.
- Finalizing the accounting period.

The objective of the month-end close is to ensure that the financial statements are complete, accurate, and prepared using consistent accounting policies.

16. Accounting Review and Quality Control

Before the monthly books are considered complete, the following areas will be reviewed:

- Unreconciled bank balances
- Uncategorized transactions
- Duplicate transactions
- Unusual account balances
- Negative asset balances
- Negative liability balances
- Unusual revenue or expense fluctuations
- Outstanding accounts receivable
- Outstanding accounts payable
- Required adjusting entries

Any identified errors or inconsistencies will be investigated and corrected before final financial reports are issued.

17. Policy Changes and Exceptions

The accounting policies in this document will be applied consistently throughout the simulated engagement.

If a transaction or business event requires treatment that is not covered by these policies, the accounting treatment will be documented and applied consistently to similar transactions.

Any significant change in accounting assumptions will be documented before implementation.

Conclusion

These accounting assumptions and policies provide the framework for maintaining the accounting records of Elevate Creative Group throughout the simulated engagement.

The policies are designed to support a complete accounting cycle, including:

Company Setup → Transaction Processing → Reconciliation → Adjusting Entries → Financial Reporting → Month-End Close

All subsequent accounting activities in QuickBooks Online should be consistent with the assumptions and policies established in this document.